properly on a given question. Knowledge institutions are not bound by the prevailing policy positions of the government, and are thus able to exercise pure rational thinking on the questions of the age.

Knowledge partnerships that play in the market for ideas

Policy institutions need to establish long-term relationships with multiple research institutions. This is not easily done. Just as government suffers from capacity constraints in India, there is limited capacity in academic institutions in India also. However, capacity at research institutions evolves in response to greater engagement with policy institutions.

In a knowledge partnership, the role of government institutions is to foster the supply side of research (by resourcing it with an environment of long-term stability) and the demand side (by asking questions of researchers).

The first priority of research institutions must be to build new knowledge and participate in the public discourse. This involves understanding what is going wrong in the country and criticizing it. Research capabilities must first be proven in the public domain landscape of the research community. The privilege of giving policy advice, and being part of the policy process, should be limited to the persons who achieve the status of public intellectuals, through writing and speaking in the public domain, and earning respect for honesty and knowledge.

A well-functioning policy process involves systematically identifying problems, enumerating rival solutions, choosing the least-intrusive solution, implementing it, and measuring the extent to which the problem is solved. There is a natural role for knowledge institutions in assessing the extent to which market failure is indeed present, in inventing new solutions, in cost–benefit analysis, and in concurrent evaluation through which measurement is done about the extent to which the problem is solved. There is value in